CANON MEXICANA, S. DE R.L. DE C.V.

TITLE:**CORPORATESOCIAL RESPONSIBILITY POLICY**					
	START OF VALIDITY			VERSION	
REFERENCE:	DAY	MONTH	YEAR		PAGE 1 OF 5
COMUCORP-002	31	05	2018	**2 .0**	

Objective:
In accordance with the "Kyosei" corporate philosophy, Canon has the objective of working in benefit of society, following its responsibility of working together for the environment, encouraging the other members of the community to join this effort. Its donations and sponsorships program is based in the understanding that the community is the soul of the company, and because of this it is necessary to help it grow.

This program pursues the objective of contributing with the environmental care, the dissemination of culture, the support in case of natural disasters and the support to programs that generate awareness and interest about the wellbeing of society.

Scope of application: the Corporate Social Responsibility program will have a national coverage. In addition, it will support projects within the following topics:

- Environment
- Social development
- Cultural dissemination
- Humanitarian aid (support in case of natural disasters or humanitarian crisis in vulnerable areas).

Donations: every gift in kind given by the company as part of its Corporate Responsibility Program is considered a donation.

The delivery of donations will be carried out with the objective of contributing to the development of the communities in those areas where the support of the public and private entities does not have a sufficient coverage.

In this kind of projects, the brand exposure, although desirable, is not a limiting factor for its approval.

PRODUCE BY:	**AUTHORIZED BY:**
PEDRO MONTERRUBIO CORPORATE COMMUNICATIONS MANAGER DATE: 31/05/2018	CAROLINA MEJIA CORONA ADMINISTRATION SENIOR DIRECTOR DATE: 31/05/2018

Characteristics of the institutions susceptible to be benefited with a donation:

- Nongovernmental organizations
- Nonprofit organizations
- Tax-exempt organizations

Procedure to request a donation:

- The donation requests will be received by the different areas of the company, and will be delivered to the Corporate Communication area, which will be in charge of evaluate if the requested donations are within the action frame of the company's Social Responsibility Program.

- Once the request was reviewed, Corporate Communication will pre-authorize the requests that comply with the guidelines established by this policy.

- The pre-authorized requests will be submitted for the approval of the Donation Committee, which will have a meeting each two months and will be composed in the following way:

  - President & CEO
  - Administration Senior Director
  - Marketing and New Business Director
  - Marketing and Strategic Planning Director
  - Corporate Communication Manager

Budget for donations: the Budget will be prepared by Corporate Communication.

Notification of approved and non-approved donations: after the evaluation of the donation's committee, the Corporate Communication area will be in charge of notifying the institutions that the donation has been approved and, additionally, will carry out the corresponding procedures to deliver the payment, according to the current authorization process. In case the donation request is rejected, Corporate Communications will inform the decision to the interested institution.

Reports about the use of donations: the area that received the donation request, must request a report to the institution supported, in order to inform about the use of the donation, as well as the fiscal documents that allow tax deductibility. These documents should be delivered to Corporate Communications.

Corporate Communication must deliver to Accounting these documents for its record, and will be responsible of preparing quarterly reports about the donations delivered during that period.

Donations period: the donations will be authorized during one year.

Sponsorships: sponsorships will be understood as those financial or in-kind donations that the company will deliver with the purpose of supporting activities related to the objectives of the Corporate Social Responsibility Program.

In addition, the sponsorships that have been assigned, must comply with the criteria established in the use and brand exposure principles.

Main social purposes of the program:

Environmental proposals:

- Aquatic
- Wildlife
- Forest
- Conservation

Educational proposals:

- Educational Programs for youth
- Environmental Awareness Programs
- University Programs
- Programs of environmental Actions. For example: Clean-up of beaches, Restoration of the natural habitat, etc.

Secondary social purposes of the program:

- Cultural Programs (museums, orchestras and theaters)
- Social Welfare (fundraising)
- Other innovative projects that contribute to promote the technology of our products.

Procedure to approve a sponsorship:

- The sponsorship requests received in writing by any division, must be approved by the Marketing Director, as well as by the Director of the corresponding area. If the amount of the sponsorship is higher than $2,500, they should be delivered to the Corporate Communication area, which will verify that they comply with the corporate guidelines.

- After evaluating the requests, Corporate Communication will pre-authorize the requests that comply with the established criteria and, subsequently, they will be submitted for the approval of the Sponsorships Committee, which will have a meeting each two months or before, if necessary, and will be composed in the following way:

- President
- Senior Director of Administration
- BISG Marketing and Strategic Planning Director
- ITCG Marketing and New Business Director
- Corporate Communication Manager.

BISG, ITCG, and Corporate Communication will be in charge of preparing the budget of their annual sponsorships.

Approved sponsorships:

In case a sponsorship is approved, the area that submitted the request to approval will carry out the corresponding procedures to deliver the payment, according to the current authorization process.

Report of use of sponsorships:

The area that received the sponsorship request, will ask for a written report about the use of the sponsorship, as well as the necessary fiscal documents to be documented. These documents will be delivered to Accountability for its record.

Corporate Communication will be in charge of preparing quarterly reports about the sponsorships approved during the period.

Criteria to reject sponsorships:

- Causes with political objectives, candidates in electoral campaigns, governmental organizations and activities organized by governmental organisms of any level of administration will not be supported.
- Activities with religious, racial and/or military purposes will not be supported.
- Gifts for media will not be supported.
- Organizations that request a sponsorship to support projects in countries different than Mexico will not be supported.
- Direct requests from Canon employees will not be supported.
- Programs in media with objectives different than the mentioned above or organized by for-profit organizations will not be supported.
- Exhibitions that are not related to the previously mentioned causes will not be supported.